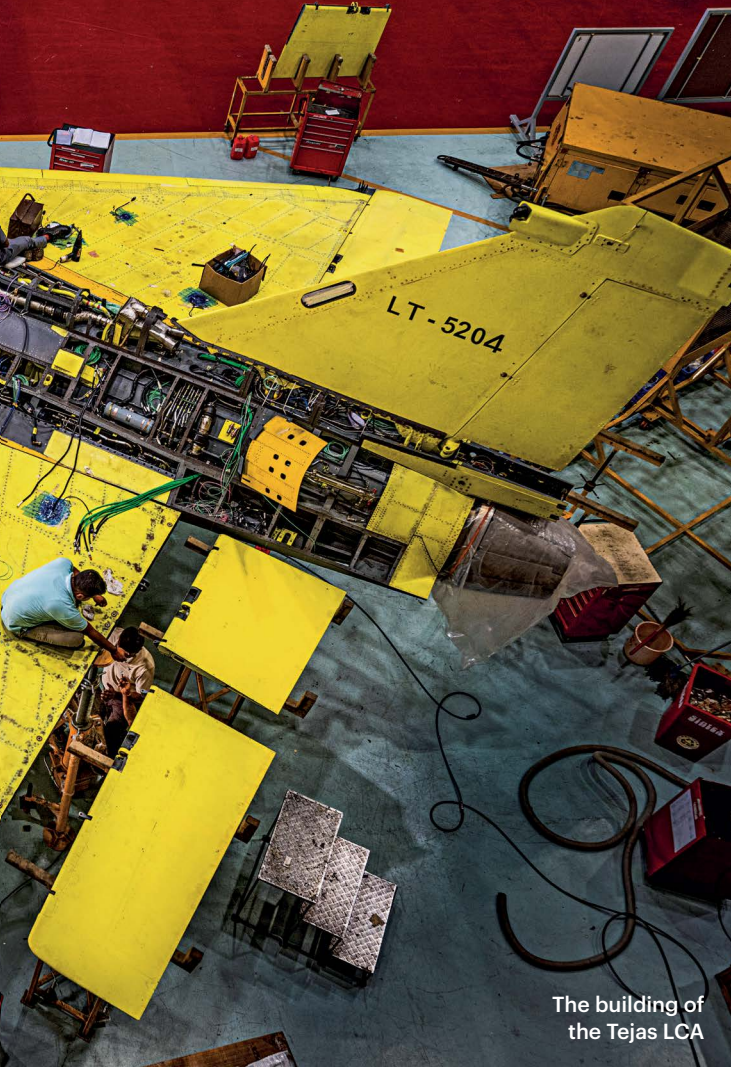




The building of the Tejas LCA

...AND THE SECOND-LARGEST IMPORTER OF ARMS

• Ukraine climbs ranks due to war with Russia

Importer	2020-24	2015-19	% Change
Ukraine	8.8	0.1	9627
India	8.3	9.1	-9.3
Qatar	6.8	3	127
Saudi Arabia	6.8	11	-41
Pakistan	4.6	2.8	61
Japan	3.9	2	93
Australia	3.5	4.8	-27
Egypt	3.3	5.8	-44
United States	3.1	1.9	67
Kuwait	2.9	0.5	466

NOTE SHARE IN %; **SOURCE** STOCKHOLM INTERNATIONAL PEACE RESEARCH INSTITUTE

local production of F414 jet engines for the Indian Air Force's Tejas, had shown willingness to transfer technology for up to 80% indigenisation. There is no indication when this project will go ahead. Hindustan Aeronautics has dismissed reports that the partnership is in trouble.

Despite global players' reluctance to share technology with Indian partners, industry and analysts continue to be optimistic. "Transfer of technology gets only know-how and not know-why. There will be a natural reluctance to part with your golden goose. But the issue is how well we can leverage our national strength, our financial strength and our market size," says SIDM's Bhatia.

BUILDING SCALE

India's defence PSUs have over the years gained size and scale. Hindustan Aeronautics, Bharat Electronics and Mazagon Dock Shipbuilders are among the world's top 100 arms producing and military services companies, according to SIPRI rankings for 2023, published last December. Hindustan Aeronautics, with defence revenues of \$3.7 billion, was at the 43rd place.

Conglomerates such as Tatas, Bharat Forge, L&T and the Mahindra Group, among the early starters from the private sector, have sizeable defence manufacturing operations. "Defence manufacturing is today where automotive manufacturing was in 2015," says PwC's Kan-

war, who expects India to become a manufacturing hub by 2035 when the level of indigenisation rises to 80-85%. Each of these private sector companies has plans to expand and specialise in specific categories. "India needs to develop national champions for specific products," says MP-IDSA's Rajiv.

"While land and information & communications technology (ICT)-based segments are expected to witness increased private participation, the defence public sector undertakings would continue their dominance in naval, aerospace and armaments," says Suprio Banerjee, vice president and co-group head at ratings agency ICRA. Companies in the ICT segment offer drone tech-